

Results

01 • RANDOM EFFECTS

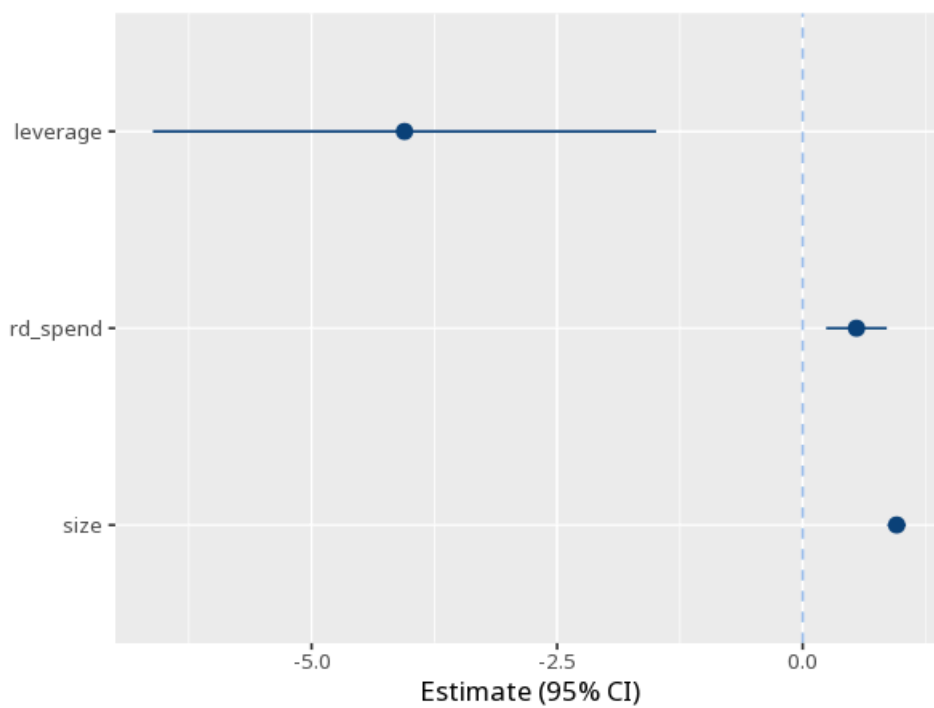
panel regression, random entity effects

Table 1. Coefficients

	(1)
(Intercept)	-0.77 (0.28) [-1.31, -0.22]
leverage	-4.05 (1.29) [-6.62, -1.49]
rd_spend	0.55 (0.16) [0.24, 0.86]
size	0.96 (0.05) [0.86, 1.05]
Num.Obs.	96
N entities	12
R ²	0.98
R ² Adj.	0.98

standard errors are clustered by entity. unlike fixed effects, time-invariant predictors can be retained. summary(plm) returns a single R² / adj. R² (not a within/between/overall split). Breusch-Pagan LM test (RE vs pooled OLS): $\chi^2(1) = 0.07$, $p = .792$ — a low p favours the random effects over pooled OLS. Swamy-Arora $\theta = 0.04$ (variance components: idiosyncratic 0.25, between 0.00).

Figure. Coefficients



How to read this test

Like fixed effects but treats entity differences as random, allowing time-invariant predictors. Read each B/p as usual — but only trust this model if the Hausman test favours random over fixed effects. Method: R plm package (Croissant & Millo, 2008). Your significance threshold (α) is 0.05.

APA template: In a random-effects model, predictor leverage gave $B=-4.05$, $p = .002$.

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